

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 4305

By: Blair

COMMITTEE SUBSTITUTE

[revenue and taxation - real property - terms -
method - fair cash value - credits - rates - audit
- codification - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 2865.1 of Title 68, unless there
is created a duplication in numbering, reads as follows:

A. As used in this act:

1. "Active construction" means any property that is being
constructed or renovated that has yet to place in service all of its
buildings;

2. "Audit" means an audit of the financial operations of the
property provided by a third-party certified public accountant or

1 financial statements certified by the organization to be true and
2 accurate;

3 3. "Lease-up" means any property that has an actual occupancy
4 of less than ninety percent (90%), that is under or has been under
5 active construction, and is in the process of leasing units;

6 4. "Net operating income" means gross restricted rent income
7 from the property minus operating expenses and replacement reserve
8 deposits, before debt service, depreciation, amortization, capital
9 expenditures, and income taxes;

10 5. "Organization" means a property owner meeting the
11 requirements under subsection B of this section; and

12 6. "Restricted rent" means the actual rental rates that are
13 restricted by the programs described in subsection B of this
14 section.

15 B. This act shall only apply to real property owned by an
16 organization:

17 1. For the purpose of renting the property to a low income or
18 moderate income individual or family who satisfies the
19 organization's income eligibility requirements;

20 2. That was financed in whole or in part through allocation of
21 the federal low-income housing tax credit authorized pursuant to
22 Section 43 of the Internal Revenue Code, 26 U.S.C., Section 42, and
23 is subject to a land use agreement or regulatory agreement that has
24 not expired or been terminated;

1 3. That does not receive exempt treatment under Section 2887 of
2 this title; and

3 4. The owner of which has not entered into any agreement with
4 any taxing unit to make payments to the taxing unit instead of taxes
5 on the property.

6 C. In determining the fair cash value of a property described
7 in subsection B of this section, the county assessor shall determine
8 the fair cash value of property that is under active construction or
9 lease-up on January 1 of the current tax year in the manner provided
10 by Section 8 of Article X of the Oklahoma Constitution using the
11 restricted rent income approach method, provided that the county
12 assessor shall estimate the property's net operating income based on
13 the organization's projected restricted rent income and expenses for
14 the first full year of operation, as adjusted to reflect the average
15 occupancy during the lease-up period.

16 D. In determining the fair cash value for a property for any
17 subsequent tax year, the county assessor shall determine the fair
18 cash value of the property based upon the restricted rent income
19 approach method utilizing the property's net operating income from
20 the audit provided by the organization.

21 E. In determining the fair cash value of property described in
22 subsection B of this section, the county assessor shall not consider
23 the value or any amount of any federal or state low-income housing
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1 tax credits as a component of the fair cash value or income
2 attributable to the property.

3 F. The county assessor shall determine a formal process for
4 determining market-derived capitalization rates to be applied to the
5 property's net operating income based on project and investor data
6 for comparable properties with restricted rents.

7 G. Not later than May 1 of each year, the organization shall
8 deliver to the county assessor the audit for the preceding year.
9 The county assessor may extend the deadline for good cause shown.

10 SECTION 2. This act shall become effective January 1, 2027.

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